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The Sparky's Playbook

Scale Your Electrical Business
from Solo Sparky to Sellable Company

FREE SAMPLE INCLUDES:

Chapter 1 — State Licensing & Compliance

Chapter 7 — Cash Flow Management

TRADIEAUTOMATE.COM — FREE FOR AUSTRALIAN ELECTRICIANS

CHAPTER 1

Mastering State Licensing & Compliance

Every Australian state runs its own licensing system through its own regulator, on its own renewal cycle, with its own insurance requirements. Here's what you actually need to know.

This article is Chapter 1 of [The Sparky's Playbook](#) — the free guide to scaling, compliance, and building a high-value electrical business in Australia. [Download the full 12-chapter book free →](#)

Running an electrical contracting business in Australia means dealing with one of the most fragmented compliance landscapes of any trade profession in the country. You need a licence to operate — but unlike building or plumbing, there's no unified national electrical contractor licence. Each state runs its own system, through its own regulator, on its own renewal schedule, with its own insurance requirements.

If you work across two states, you're managing two completely different frameworks. If you let one lapse, you can't legally contract work in that state until it's reinstated. And if you're applying for the first time and pick the wrong licence category — which happens more often than most regulators will admit — you can lose weeks to a rejection and re-application.

This chapter covers what you actually need to know: how each state system works, how to keep your licence active without it becoming a monthly admin nightmare, and how to handle multi-state work legally.

Why This Matters More Than You Think

Most electricians understand they need a licence. Fewer understand the specific obligations that come with it — what triggers a renewal, what insurance clauses the regulator actually checks, and what happens when paperwork slips.

The consequences of getting it wrong aren't theoretical. A lapsed licence means:

- You cannot legally enter into new contracts for electrical work in that state
- Any insurance you hold may not respond to a claim made while unlicensed
- If a complaint is lodged with the relevant regulator, your entire compliance history becomes visible
- In some states — particularly NSW and QLD — operating without a current licence is a criminal offence, not just an administrative breach

The good news is that staying compliant is mostly a calendar problem, not a knowledge problem. The right systems make it nearly automatic.

How Each State System Works

New South Wales — NSW Fair Trading

NSW has a two-track system that most contractors — even experienced ones — don't fully understand.

Track 1: The Electrical Contractor Licence (ECL)

This is issued under the Home Building Act 1989 by NSW Fair Trading. It authorises a business entity to contract electrical work. Without it, you cannot quote or take on electrical jobs as a business in NSW.

Track 2: The Contractor Licence with Electrical Work (CCEW)

The CCEW — sometimes called the Certificate of Compliance for Electrical Work — is the compliance document you lodge after completing each job. It's issued by you as the licensed contractor. What most electricians miss is that the obligation to lodge the CCEW has a strict 7-day deadline from completion of work. Missing that deadline is the most common compliance breach in NSW — and it carries serious consequences.

Important: The CCEW 7-day rule is one of the most commonly missed obligations in NSW. [Read the full breakdown of what triggers the clock and what happens if you miss it →](#)

Licence categories in NSW:

- Qualified Supervisor Certificate (QSC) — authorises an individual to perform and supervise electrical work
- Electrical Contractor Licence (ECL) — authorises a business to contract electrical work
- Endorsed Contractor Licence — the most common for sole traders, combines both functions into a single licence

Licences are available in 1-year or 3-year terms. Insurance requirement: \$5 million public liability minimum for standard electrical work; \$20 million for specialist work including high voltage.

Victoria — Energy Safe Victoria (ESV)

Victoria's system is administered by Energy Safe Victoria. The two key credentials are:

Registration of Electrical Contractors (REC)

This is your business registration — equivalent to NSW's ECL. It allows your business entity to contract electrical work. REC registration must be renewed every 3 years.

Certificate of Electrical Safety (CES)

The CES is Victoria's version of NSW's CCEW — the compliance document you must lodge after completing electrical installation work. The lodgement obligation is 30 days from completion (more forgiving than NSW, but still strict). CES documents are lodged through the MyESV portal.

What catches Victorian contractors out:

- The 30-day CES lodgement window — most contractors know about it, but multi-job periods in summer and late year mean lodgements accumulate and get missed
- Solar installations require a separate CES for the electrical installation component, even when a Certificate of Compliance for Electrical Work is already being issued through the CEC process

Read more: [VIC Electrical Contractor Licence Guide 2026 — REC registration, CES lodgement and Energy Safe Victoria](#)

Queensland — QBCC + Electrical Safety Office (ESQ)

Queensland has two separate licensing bodies, which means two separate licences, two separate fees, and two separate renewal schedules.

Queensland Building and Construction Commission (QBCC)

The QBCC contractor licence covers the business entity. For electrical work, you need either a Specialist Trade Contractor Licence or a Builder's Licence depending on the scope of work.

Electrical Safety Office (ESQ)

ESQ issues the electrical work licence — the individual licence that authorises you to perform electrical work. Unlike NSW, which combines contractor and supervisor credentials into the ECL/QSC structure, QLD keeps them completely separate: the QBCC licence is about contracting authority; the ESQ licence is about technical authority to do the work.

QLeave

QLD also has a portable long service leave scheme — QLeave — that applies to electrical contractors. Contributions are based on the value of building and construction work performed. This is a payroll-adjacent obligation that many interstate contractors setting up in QLD miss entirely in their first year.

Read more: [QLD Electrical Contractor Licence Guide 2026 — QBCC, ESQ and QLeave requirements](#)

South Australia — Consumer and Business Services (CBS) / Office of the Technical Regulator (OTR)

South Australia's licensing is split between two bodies:

- **CBS (Consumer and Business Services):** issues the electrical contractor registration — the business entity authorisation
- **OTR (Office of the Technical Regulator):** regulates technical safety standards and conducts inspections and audits

What SA contractors need to watch:

- SA has stricter random audit rates than most other states — contractors are selected for inspection of completed work without prior notice
- The OTR has been particularly active on solar and battery storage inspections in recent years as the state's penetration of household solar has grown

Read more: [SA Electrical Contractor Licence Guide 2026](#)

WA's electrical contractor licensing is administered by EnergySafety under the Electrical Licensing Board.

Two key credentials in WA:

- **Electrical Contractor Licence:** authorises your business to contract electrical work
- **CCEI (Competency Card for Electrical Installation):** the individual card that authorises you to perform the work — WA's equivalent of a QSC or individual electrical work licence

Responsible Supervisor requirement:

Every licensed electrical contractor in WA must nominate a Responsible Supervisor who holds a valid individual licence (REL or CCEI). If your Responsible Supervisor leaves the business, you have a limited window to appoint a replacement before your contractor licence becomes non-compliant.

Read more: [WA Electrical Contractor Licence Guide 2026 — EnergySafety, CCEI and contractor licence requirements](#)

Keeping Your Licence Active — The Systems That Work

Understanding the rules is step one. Step two is building the systems that mean you never slip.

Map Every Renewal Date

Pull out every current licence certificate — yours, your supervisors', your company registration — and write down the expiry date for each. Put them all in your calendar with a 60-day lead reminder and a 30-day follow-up. If you're using ServiceM8, you can create a recurring task or note against your company record.

The 60-day lead time matters because:

1. Some renewals require updated insurance certificates which take time to obtain
2. State portals go down, forms change, and lodgement processing times vary seasonally
3. If anything is rejected, you need buffer time to fix it before the expiry date

Insurance: What the Regulator Actually Checks

Every state requires current public liability insurance, but the way they check it creates traps for contractors.

The certificate of currency must exactly match:

- The entity holding the licence (not your personal name if the licence is held by a company, and vice versa)
- The cover amount required by that state's licensing body
- The specific activity — a general commercial policy that excludes "electrical work" or "trade work" will not satisfy the requirement

When you renew your policy each year, request a certificate of currency specific to each state licensing body you need to satisfy. Your broker should know to do this — if they don't, it's worth having the conversation proactively rather than at renewal time.

Wrong Category Applications

The single most common cause of application delays — particularly for contractors setting up in a new state — is applying under the wrong licence category.

The practical fix: before lodging any new application, call the relevant state licensing body and confirm the exact category for a contractor with your specific scope of work. A 10-minute phone call can save you 4 weeks of back-and-forth.

Working Across State Lines — Mutual Recognition

If you do regular work in multiple states, you need to understand how mutual recognition actually works — because the common understanding among contractors is often wrong.

What mutual recognition covers:

The Mutual Recognition Act 1992 allows holders of licences in one state to apply for equivalent registration in another state, without going through the full assessment process. This significantly simplifies multi-state licensing.

What it does NOT do:

Mutual recognition does not automatically permit you to work in another state on the basis of your home state licence. You must formally invoke mutual recognition by:

1. Notifying the receiving state's licensing body in writing before commencing work
2. Providing a copy of your current home state licence
3. In some cases, paying the relevant fee for the receiving state registration

Some states have carve-outs — NSW, for example, has specific provisions for high-risk electrical work that requires full separate assessment rather than mutual recognition.

Practical guidance:

If you're setting up regular work in a second state, it's worth applying for a separate contractor licence in that state rather than relying on mutual recognition notifications for each project. The annual cost is modest and removes any uncertainty about your status.

The Compliance Calendar: What a Well-Run Business Tracks

Here's what a properly maintained licensing compliance calendar includes for a business operating in two states (NSW + QLD as an example):

ITEM	FREQUENCY	LEAD TIME	OWNER
NSW ECL renewal	Annual or 3-year	60 days	Business owner
QLD QBCC licence renewal	Annual	60 days	Business owner
QLD ESQ electrical licence	Annual	60 days	Business owner / supervisor
Public liability insurance renewal	Annual	45 days	Admin / bookkeeper
CCEW lodgement (NSW)	Per job	7 days from completion	Site supervisor
QLeave levy contribution	Monthly (per project)	Monthly	Bookkeeper
Individual supervisor licence check	Annual	60 days	Business owner

Note that your supervisor's individual licence is a separate compliance obligation from your contractor licence — if their licence lapses, your business's compliance status is affected even if your contractor licence is current.

The Most Expensive Compliance Mistake

The most expensive licensing mistake isn't the fine — it's the loss of a contract.

Larger commercial clients — particularly government departments, commercial builders, and large solar developers — require you to submit a copy of your current contractor licence as part of pre-qualification. If you can't produce a current certificate, you're off the shortlist. No appeal process. No exception for "it just expired last week."

The businesses that win those contracts aren't necessarily more skilled than their competitors. They're just better at paperwork. And paperwork is a system problem, not a character problem.

Summary: What to Do This Week

You don't need to rebuild your compliance system today. But three actions this week will significantly reduce your exposure:

Action 1: Pull out every licence certificate in your business — yours, your supervisors', your company registration across all states — and write down every expiry date. Check which ones expire in the next 6 months.

Action 2: Get your insurance certificate of currency and check it against the specific requirements of each state licensing body you're registered with. Does the entity name, cover amount, and activity description match exactly?

Action 3: If you do work in more than one state, confirm whether you're operating under a valid separate licence in each state, or whether you're relying on mutual recognition — and if the latter, confirm that you've actually invoked it in writing for the relevant state.

These three actions won't take more than two hours. They'll eliminate the most common compliance traps that catch experienced operators.

Quick Wins

3 actions you can take this week:

1. **Map your renewal dates** — pull every current licence certificate and put expiry dates in your calendar with 60-day lead reminders. Include your supervisors' individual licences.
 2. **Audit your insurance certificate** — check that the entity name, cover amount, and activity description exactly match what each state licensing body requires. One mismatch = non-compliant.
 3. **Confirm your multi-state status** — if you work across state lines, verify you're operating under a valid separate licence or have formally invoked mutual recognition in writing before your next job.
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Read More on TradieAutomate.com

- [NSW Electrical Contractor Licence Guide 2026](#)
 - [QLD Electrical Contractor Licence Guide 2026](#)
 - [VIC Electrical Contractor Licence Guide 2026](#)
 - [WA Electrical Contractor Licence Guide 2026](#)
 - [SA Electrical Contractor Licence Guide 2026](#)
 - [NSW CCEW 7-Day Deadline Rule — The Compliance Trap Most Electricians Miss](#)
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Want the full Sparky's Playbook? This is Chapter 1 of a free 12-chapter guide covering licensing, EV charging, commercial solar, cash flow, tech stack, marketing, and building a business worth selling. No fluff — just practical frameworks from the people behind TradieAutomate.com. [Download The Sparky's Playbook free →](#)

CHAPTER 7

Cash Flow for Electrical Contractors

The most common reason good electrical businesses fail isn't a lack of work. It's cash flow. Here's how to close the gap between billing and getting paid.

This article is Chapter 7 of [The Sparky's Playbook](#) — the free guide to scaling, compliance, and building a high-value electrical business in Australia. [Download the full 12-chapter book free →](#)

The most common reason good electrical businesses fail isn't a lack of work, a pricing problem, or poor workmanship. It's cash flow.

A business can be fully booked, billing at healthy margins, and still find itself unable to make payroll because three commercial invoices are sitting unpaid at 45 days. That's not a revenue problem. That's a systems problem — and it's fixable.

This chapter is about understanding the specific cash flow dynamics that affect electrical contractors, and building the systems that mean you're never caught short.

Why Electrical Contractors Have Cash Flow Problems

Most trades businesses have a structural cash flow challenge built into how they operate:

You pay first. Materials — switchboards, cable, conduit, fixtures — are often paid upfront or on account with relatively short credit terms. On a large commercial job, your materials cost can land before you've done a day of billable work.

You get paid last. Residential clients expect to pay on completion. Commercial clients run 30-60 day payment terms as standard. Some government and large corporate clients have 60-90 day payment cycles baked into their accounts payable process.

The gap in between is your problem. If you're running multiple jobs simultaneously, that gap compounds. You're funding several jobs in progress at the same time, waiting on payment for work completed weeks ago.

Understanding this dynamic is step one. The goal of every cash flow system in this chapter is to close that gap — getting paid faster, reducing the amount of cash you're fronting, and making sure slow-paying clients don't threaten the viability of your business.

The Progress Billing Standard

For any job that spans more than a week, waiting until completion to invoice is a cash flow mistake.

Progress billing — invoicing in stages tied to project milestones — is the standard commercial practice in construction and should be standard in your electrical business too. Here's why:

Example: A commercial fitout worth \$85,000

- Without progress billing: you fund materials (\$35,000+), labour, and overhead for 6-8 weeks, then invoice on completion and wait another 30-45 days for payment. You could be \$40,000+ out of pocket for 10-12 weeks.
- With progress billing: you collect at 3 milestones (deposit, mid-point, completion), keeping your cash position roughly neutral throughout the job.

A standard progress billing structure:

STAGE	TRIGGER	PERCENTAGE
Deposit	Before mobilisation / material ordering	30-40%
Mid-point	Rough-in complete / agreed milestone	30-40%
Completion	Practical completion sign-off	20-30%

The exact percentages can flex based on the job profile, but the structure is non-negotiable for any job above a threshold you define (typically \$5,000-\$10,000).

Getting clients to accept progress billing:

Most clients understand progress billing — it's standard in construction. Frame it clearly in your quote: "Our payment schedule for this project is..." rather than asking for permission. For residential clients who push back, explain that you order materials specifically for their job and require a deposit before ordering.

Very few clients will walk away from a well-presented quote over reasonable progress billing terms. The ones who do tend to be the ones who would have been slow to pay anyway.

Deposit Requirements

For every job that requires significant materials, a deposit before mobilisation is non-negotiable.

The deposit serves two functions:

1. It funds your material purchase without using your own cash
2. It signals that the client is committed — people who won't pay a deposit often aren't serious buyers

Residential solar: 30-40% deposit is industry standard before equipment ordering. CEC accreditation requirements also specify that certain documentation must be completed before installation — your deposit process should align with this.

Electrical upgrades and fitouts: 30% deposit for jobs over your threshold. Adjust the percentage based on the materials-to-labour ratio — material-heavy jobs warrant higher deposits.

Emergency and reactive work: full payment on completion (same day) is normal for call-out work. Carry a card terminal. Cash and card on the day is the standard for residential reactive jobs.

Retention — What to Watch For

On larger commercial jobs, you'll encounter retention clauses — contractual provisions where the client withholds a percentage of each progress payment until certain conditions are met.

A typical retention structure:

- **5-10% withheld** from each progress payment until practical completion
- **Half released** at practical completion
- **Balance held** until end of a defects liability period (commonly 12 months)

The practical impact: on a \$200,000 commercial job with 5% retention and a 12-month defects liability period, you could have \$10,000 in retention outstanding for over a year after the job is complete.

What to negotiate before signing:

1. **The retention percentage.** 5% is standard; anything above that warrants negotiation
2. **The defects liability period.** 12 months is common; push for 6 months where possible for straightforward electrical work
3. **Release conditions.** Are they clearly defined? "At the client's discretion" is not acceptable — get specific trigger events in writing
4. **Security deposit alternative.** Some contracts allow you to substitute a bank guarantee for retention — this keeps the cash in your account and may be worth the bank fee for large jobs

Track retention separately. It's not a bad debt — it's money owed to you with specific release conditions. Keep a retention receivables register so nothing falls through the cracks. Many contractors forget to chase retention releases until months after they're due.

Payment Terms — Setting and Enforcing Them

Your payment terms only work if they're:

1. Written into your quote
2. On every invoice
3. Followed up consistently when not met

Setting terms by client type:

CLIENT TYPE	RECOMMENDED TERMS
Residential (new client)	Payment on completion
Residential (established)	7-day net
Small commercial	14-day net
Commercial / corporate	30-day net
Government	30-day net (some pay 60 — assess case by case)

Agree to longer terms than these only when the job size and client quality justify it — and price accordingly. Longer payment terms have a cost; if a large client is going to sit on your invoice for 60 days, that's cash you're effectively lending them.

The credit application. For any commercial client you expect to be doing regular work for, use a formal credit application — business name, ABN, contact details, director names. It signals you're running a proper business, creates a paper trail, and gives you the information you'd need if you ever had to pursue a debt.

The Debtor Follow-Up System

The single most impactful change most electrical businesses can make to their cash flow is implementing a consistent debtor follow-up process.

Here's the truth: most overdue invoices are not disputed. They're just not being prioritised. Your invoice is in a stack of things to process. The client who is going to pay you will pay you faster if you prompt them. The client who is going to be difficult will reveal themselves quickly if you follow up consistently.

A simple follow-up sequence:

Day 0 — Invoice issued. Clear terms on the invoice. Reference the job and quote number.

Day 7 (if overdue) — Automated reminder from your job management software. Friendly tone: "Just a reminder that invoice #XXX for \$X,XXX is due today. Please let us know if you have any questions."

Day 14 (if overdue) — Second reminder, slightly firmer. Reference your payment terms. If your quote included a late payment clause (see below), mention it: "As per our terms, a late payment fee applies to overdue balances."

Day 21 (if overdue) — Phone call. Not an email. A direct conversation with the person who can authorise payment. Keep it process-driven: "I'm calling about invoice #XXX — can you confirm when we can expect payment?"

Day 30 (if still unpaid) — Formal written notice. State that you'll be escalating to a debt recovery process if payment isn't received within 7 days. Mean it.

ServiceM8 and Xero both have automated reminder capabilities — set them up once and they run without you. The follow-up sequence above should be largely automatic; your manual intervention only kicks in at Day 21 and beyond.

Late Payment Clauses

Include a late payment clause in your quotes and contracts. Standard commercial practice allows you to charge interest on overdue balances — typically the RBA cash rate plus 8-12%.

More valuable than the interest itself: the clause signals that you track your receivables, you know the invoice is overdue, and there are consequences for not paying. This alone accelerates payment from clients who are managing cash themselves.

A simple clause:

Invoices not paid by the due date will accrue interest at [RBA cash rate + 10% per annum], calculated daily on the outstanding balance.

Check with your accountant on the specific rate and wording for your business. The key is that it's in your quote and in your terms of trade — not added after the fact.

Seasonal Cash Flow Patterns

Electrical contracting has predictable seasonal cash flow patterns. Understanding them lets you plan rather than react.

High-demand periods (more work, but also more cash tied up in jobs in progress):

- Pre-Christmas (October–November) — commercial fitouts, residential upgrades before summer
- Late financial year (April–June) — businesses spending capital budget before June 30

Low-demand periods (slower work, easier to collect, but lower revenue):

- January — the post-Christmas slump. Many commercial clients don't process invoices until mid-January
- Easter period — short window but noticeable

The pre-Christmas trap. The October–November surge is when many electrical businesses stretch their cash the most. Work is flooding in, materials costs are high, and clients are also managing their own end-of-year pressures. Make sure you're billing progress milestones aggressively during this period — don't let work accumulate waiting for a year-end invoice.

Carrying costs into January. Make sure you collect as much outstanding receivables as possible before Christmas. Clients are in a good mood, budgets are being spent, and the alternative is chasing invoices from mid-January when they're back in "next year" mode.

Cash Flow Forecasting — The Practical Version

You don't need a complex spreadsheet. You need a simple forward view of cash in and cash out for the next 8 weeks.

Weekly cash flow forecast:

WEEK	EXPECTED IN (CONFIRMED JOBS, PROGRESS MILESTONES, OUTSTANDING INVOICES)	EXPECTED OUT (WAGES, MATERIALS, SUPER, OTHER)	NET POSITION
This week	\$18,500	\$14,200	+\$4,300
+1 week	\$12,000	\$11,800	+\$200
+2 weeks	\$22,000	\$8,500	+\$13,500
...	...	...	...

It takes 20 minutes a week to maintain once it's set up. The value is early warning — you can see a potential cash shortfall 4-6 weeks out when there's still time to do something about it (accelerate billing, chase debtors, arrange a short-term facility).

When to get a line of credit: Before you need it, not when you're in trouble. A business overdraft or trade finance facility from your bank is cheap insurance against the inevitable cash gap. Apply when your accounts are looking healthy — lenders are much more willing then. The facility cost is negligible compared to the cost of turning down a big job because you can't fund the materials.

The Five Numbers Every Electrical Contractor Should Track

You don't need to be a finance person. You need to watch five numbers:

1. **Days Sales Outstanding (DSO):** Average days between invoicing and payment. Target: under 30 days. Above 45 days means your follow-up system needs work.
2. **Outstanding receivables by age:** What's 0-30 days, 31-60 days, 60+ days. The 60+ number is where cash goes to die.
3. **Cash on hand vs. upcoming payroll:** How many weeks of payroll is sitting in your account right now? Under 2 weeks is danger zone.
4. **Retention balance:** Total retention held across all active jobs. This is real money owed to you.
5. **Monthly billings trend:** Are you billing more or less than the same month last year? Revenue momentum tells you whether your pipeline is healthy.

Your accounting software (Xero, MYOB) can surface all of these. Set aside 30 minutes at the start of each month to review them.

Summary: What to Do This Month

Three actions that will have an immediate impact on your cash position:

Action 1: Review your current outstanding invoices. Pull every invoice over 14 days old and make a phone call this week. Don't email — call. You'll collect faster than you expect.

Action 2: Update your quote template to include a clear payment schedule with progress milestones for any job over your threshold. Make it a standard part of every proposal.

Action 3: Set up automated invoice reminders in ServiceM8 or Xero if you haven't already. A 7-day and 14-day reminder sequence that runs without you is worth more than any other cash flow intervention.

Quick Wins

3 actions you can take this week:

1. **Call every invoice over 14 days old** — not email, phone. Most will pay within the week.
 2. **Add a progress billing schedule to your quote template** — deposit + mid-point + completion for any job over \$5,000.
 3. **Turn on automated invoice reminders** in ServiceM8 or Xero — 7-day and 14-day. Set it once, runs forever.
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Related Reading

- [Solar Installer Cash Flow Management Australia](#)
 - [ServiceM8 Review 2026 — Is It Worth It for Electricians?](#)
 - [Xero vs MYOB for Australian Tradies 2026](#)
 - [5 Hidden Costs Killing Your Profit as a Solar Installer or Electrician](#)
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